(iii) To provide ₹4,000 for bad debts

(iv) The final amount due to Madhuri was not paid

Prepare revaluation account, partners' capital account and the balance sheet of the firm after death.

(Answer: Revaluation profit: ₹ 15,000;
Varsha's capital A/c: ₹ 1,01,250; Santhi's capital account: ₹ 77,000;
Madhuri's executors account: ₹ 32,750; Balance sheet total: ₹ 2,43,000)

22. Vijayan, Sudhan and Suman are partners who share profits and losses in their capital ratio. Their balance sheet as on 31.12.2018 is as follows:

Balance Sheet as on 31.12.2018

Liabilities	₹	₹	Assets	₹
Capital accounts:			Building	80,000
Vijayan	70,000		Stock	45,000
Sudhan	50,000		Debtors	25,000
Suman	30,000	1,50,000	Cash at bank	20,000
General reserve		18,000	Cash in hand	15,000
Creditors		17,000		
		1,85,000		1,85,000

Suman died on 31.3.2019. On the death of Suman, the following adjustments are made:

(i) Building is to be valued at ₹ 1,00,000

(ii) Stock to be depreciated by ₹ 5,000

(iii) Goodwill of the firm is valued at ₹ 36,000

(iv) Share of profit from the closing of the last financial year to the date of death on the basis of the average of the three completed years' profit before death.

Profit for 2016, 2017 and 2018 were ₹ 40,000, ₹ 50,000 and ₹ 30,000 respectively.

Prepare the necessary ledger accounts and the balance sheet immediately after the death of Suman.

(Answer: Revaluation profit ₹ 15,000;Vijayan's capital A/c: ₹ 81,200;
Sudhan's capital account: ₹ 58,000; Suman's executor's account: ₹ 45,800;
Balance sheet total: ₹ 2,02,000)

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